QUESTION 3 (25 MARKS)

Danisa and Sipho practice as dental surgeons in Harare. They submit the following profit or loss account in support of income returns for the tax year ended 31 December 2021.

		ZWL		ZWL
Insurance premiums:			Fees accrued	6 398 500
Loss of profit		6 000	Bad debts recovered	184 000
Fire		3 600	Bank interest	175 000
Partnership joint life policy		3 800	Debenture interest	120 000
Life policies for benefit of:			Dividends Delta Corp Ltd	90 000
Sipho	160 000			
Danisa	100 000	260 000		
Medical contributions:				
Danisa	52 000			
Sipho	32 000			
Staff	110 000	194 000		
		1 680 000		
Staff salaries		210 000		
Annuity to widow of deceased employee		48 000		
Interest on capital: Danisa		44 000		
Sipho		97 000		
Bad debts		10 000		
Trade subscriptions		1 016 000		
Operational expenses		86 000		
Depreciation				
Net Profit:				

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Danisa 60%	1 985 460		
Sipho 40%	1 323 640		
	3 309 100		
	6 967 500		6 967 500

Notes

1. Partners drawings were Sipho $180 000 and Danisa $290 000
2. Bad debts recovered include an amount of $16 000 on account of a loan previously written off as bad and not allowed as a deduction for tax purposes.
3. Bad debts are made up as follows

Provisions of for doubtful debts calculated at 5% of debtors	43 000
Fees unpaid	26 000
Loan to former manager now irrecoverable	28 000
	97 000

4. Fixed Assets in the hands of the partners at the beginning of the year are as follows:

Depreciation of Asset	Date Acquired	Original Cost $
Office furniture and equipment	Jan 2019	15 000
Surgery Equipment	Jan 2020	70 000
Truck -Donated to the practice	Jun 2018	6 000

NB*The partnership elects to claim SIA

5. Sipho borrowed money to purchase his share in the partnership practice, interest payable during the year amounted to $120 000.
6. Danisa and Sipho paid $230 000 and $255 000 respectively to approved retirement annuity funds
7. Sipho travels extensively for the practice and provides his own transport. He rented a car for $9000 a month for 6 months from 1 January 2021 and 1 July 2021 purchased a Madza sedan vehicle car for $150 000. His running expenses for six months to 31 December 2016 were $21 000. It has been established that his non- business travel has at all times been 10% of the total
8. Sipho is unmarried but has a disabled child aged 10. In addition to his income from the partnership he had the following income:

ZWL

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Dividends from companies registered in Zimbabwe	40 000
Interest from Botswana (after withholding 10% tax)	25 000
Rent from UK property	100 000

9. Danisa is married with two children and during the year his medical aid shortfalls were $36 000

REQUIRED

Calculate the tax payable by Danisa and Sipho in respect of the tax year ended 31 December 2021 **(25 marks)**

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